



model is valid but has different characteristics for building and managing a venture.

Whatever you build, decide whether to deliver it as technology, a product, or a service. That is business modelling. Services require more capital upfront and offer income (economic recovery) per transaction. Products need proportionally less capital and offer returns per unit sold. Technology, though lower in price, may power multiple products and services.

The entrepreneur mainly drives the journey from idea to business. The founder's personality is vital. In large companies, an employee/professional typically starts at the bottom—as a trainee or sales engineer—and advances in accountability over time. In a startup, the founder is the chief executive officer from day one. The entire structure is built afterward. The founder's primary role is managing the business model and building its operating model (systems and people).

Beyond the idea, how will the business make money?

Making money (sustained cashflow, profits) is the core of business, even for social entrepreneurs. Social entrepreneur must also make money; the only difference is that the money stays within the enterprise and cannot be drawn out. As a startup founder, you cannot hire everyone—you do not have the resources. So, you fill every gap yourself. Imagine a soccer match: you need 11 players, but you are the only one on the field. You play every position—goalkeeper, striker, defender. If you defend well and manage to score a goal, you can get one more player. Then the question becomes: Which position should you hire? Who saves you the most time/effort? Your time is your most

expensive resource. What is the best use of your time to score well as a team? Who could help you deliver customer value better/faster, or cheaper than you?

Permanent jobs are shrinking. People will be hired for skills and competencies, sometimes across multiple companies. So, build your team thoughtfully by combining partnerships, outsourcing, contracting, and employment, thereby building elasticity in managing your total cost of operations

As your team grows, choose roles that free you up the most. Keep asking: where is time being wasted (from the customer's perspective)?

Now, consider another analogy: war. You only win when you take ground and plant a flag—that is delivery. Delivery managers create customer value, with their teams. Everyone else supports them. So, delivery is the army. Systems management is the navy—it moves troops, builds bridges, enables delivery, and improves effectiveness. These are your middle managers and leaders. They must understand business model, strategy, and the operating model. 'Middle Managers' are the true strength of excellent enterprises. In the context of startups, these roles are fulfilled by the startup's core members, on whom the entrepreneur relies.

Above them is business model management—the Air Force. It does high-impact work. Functional leaders, such as those in HR, tech, and sales, operate here. They must understand their function in the context of the business strategy and operating model. They make key decisions.

A good CEO is like Lord Krishna in the Mahabharata war—a supreme driving force, getting everything done without taking arms. Not running any one function, but

present in all of them. The founder begins operating at the bottom and becomes free as the company scales.

But reaching that stage takes careful planning. The system must be built and every role must be filled eventually. Where there is a void, you do the job. This is an important behavioural trait essential for team members of a startup—they are like the players in a good soccer team: they have positions assigned, and they run around the whole field to defend and to score goals. However, as the leading entrepreneur, you must not always jump into crisis management and do it all alone—that will limit your scalability. Every time you get an opportunity, explore how to develop and rely on others. The key capability of an exceptional entrepreneur is to appreciate and strengthen both sides of every paradoxical situation they encounter, and develop

Scalability often depends on this—bringing in the right people. In India, 91 % of the economic value comes from large, listed companies, while only 9 % comes from over 100,000 SMEs. Just 1000 companies generate most of that value. Why? Because most SMEs do not scale: some by design, most by default. The main reason is the leading entrepreneur, their beliefs, and values. Many cannot relinquish control or think beyond mere survival. That is the real problem; rising above that is essential to build scalable enterprises. The entrepreneurs must scale up ahead of their enterprises. **EFY**

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